

Cindergrove Advisors Inc

www.cindergroveadvisors.com

August 13, 2001

Cindergrove Advisors Inc

Mr. Darryl Rogers, VP Finance, Snow-Berry

Re: Inventory Control Study

Dear Mr. Rogers:

This letter will confirm the arrangements we have discussed for an inventory control study at Snow-Berry. We appreciate the confidence Snow-Berry has placed in our firm, and we are prepared to begin work on August 23, 2001.

The purpose of the study is to examine the methods by which Snow-Berry orders, receives, stores, and issues inventory, and to recommend improvements in the accuracy of the records and the control of stock. Our work will proceed in the manner described in our proposal: interviews with the responsible personnel, observation of operations at the warehouse and on the plant floor, analysis of the ordering and count records, and a written report setting out our findings together with a practical program for carrying out the recommendations. We expect the study to run *approximately five months from the start of fieldwork*.

Kimberly Price, Senior Consultant, will direct the engagement and will be your principal contact for its day-to-day conduct. Andrea Diaz, Consultant, will perform the on-site fieldwork and the review of records. I will review all work personally before it leaves our office.

Our fee for the study will be \$82,500, which covers professional time and ordinary out-of-pocket expenses. Should the scope of the work change materially, we will advise you in writing before proceeding, and no addition to the fee will be made without your written approval.

If these terms are satisfactory, please sign both copies of this letter where indicated, return one to our office by fax, and retain the other for your file. The countersigned original may follow by mail. We are pleased to be of service to Snow-Berry and look forward to a productive engagement.

Very truly yours,

Carlos Griffith

President

Date: August 13, 2001

Darryl Rogers

VP Finance, Snow-Berry

Date: August 13, 2001